Oracle Corporation (NYSE: ORCL)

Equity Research | Stock Pitch Report

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Ticker	ORCL
Industry	Software & Cloud
Recommendation	**Buy**
Current Price	$130
Price Target	156-257
Market Cap	$395 Billion
Shares Outstanding	3.02 Billion
Net Debt (Debt + Lease obligations)	$155 Billion
Enterprise Value	$550 Billion
52-Week Range	$114-$265

1. Executive Summary

Oracle is currently witnessing a structural change in its business segments. The market is perceiving the current AI infrastructure buildout and oracle leveraged position as very high risk. I believe the risk is lower than actual market expectations.

This represents an asymmetric investment opportunity. Even under a conservative scenario where AI expansion halts in FY28, valuation support yields $156 per share (+23.8% upside from $126). In a continued growth environment through FY30, the value scales to $257 (+103.9% upside).

2. Business Overview

Cloud Infrastructure (IaaS)

Builds data centres and rents computing capacity to customers.

- **AI companies:** OpenAI, xAI and Cohere etc., use cloud infrastructure for AI workloads.
- **Enterprises:** Uber, FedEx and TikTok etc. use cloud infrastructure for enterprise workloads.

Cloud Applications (SaaS)

Sells enterprise software through cloud subscriptions.

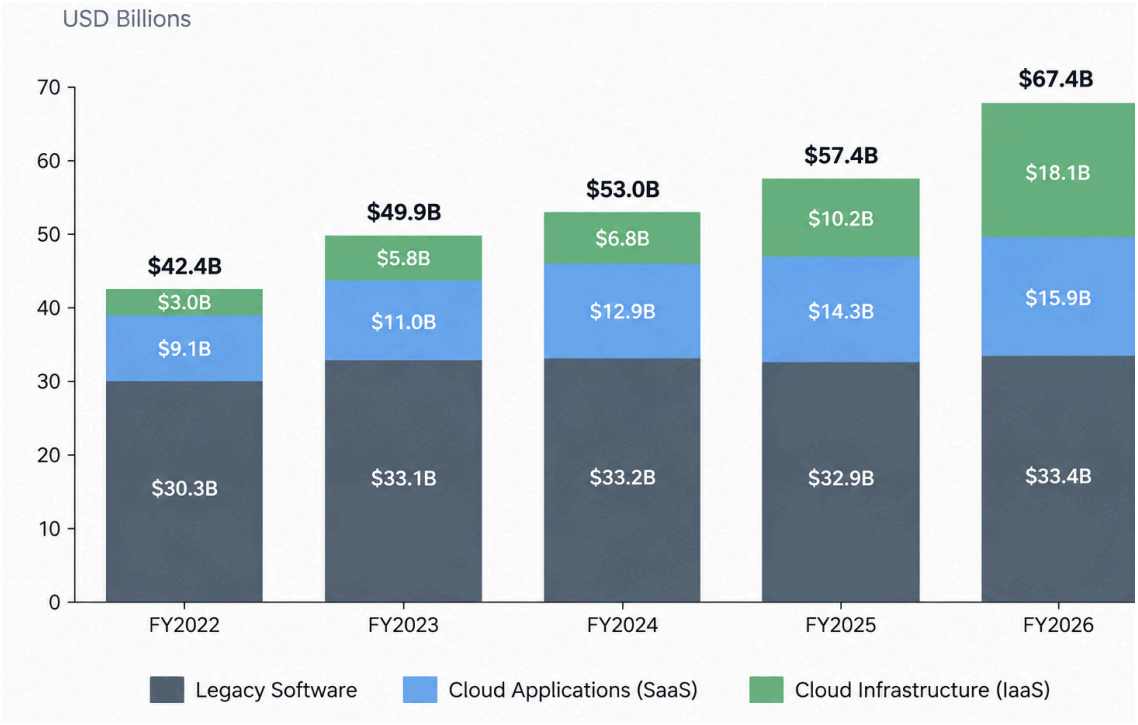
- ERP (finance and accounting), HCM (HR and payroll), SCM (supply chain management) and NetSuite (business management software).

Legacy Software

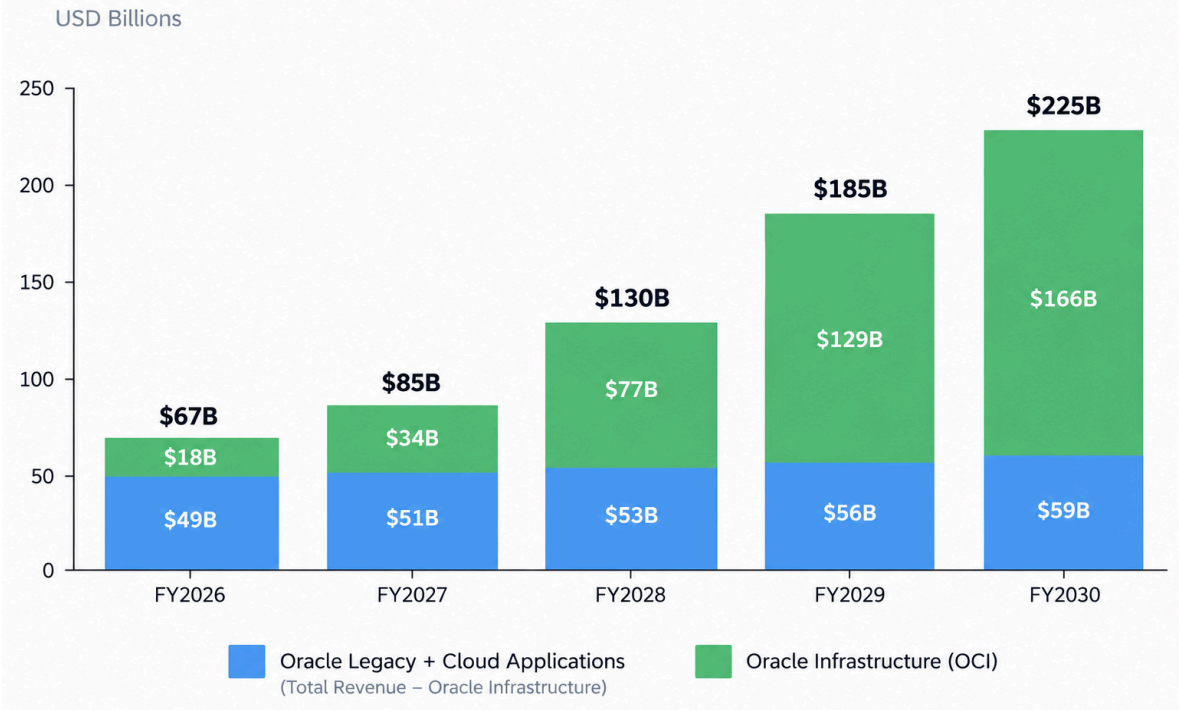
Provides database software, Java, on-premises software licenses, support and maintenance, and hardware.

3. Financial Overview

3.1 Historical Revenue



3.2 Future Revenue (Management Guidance)



3.3 Future Oracle: 1 Company, 2 Businesses (FY2026 to FY2030)

	Oracle Cloud Infrastructure	Oracle Cloud Applications + Oracle Legacy
Growth	High growth, driven by AI data center demand	Low growth
Margin	Low margin, 20% to 30%	High margin, 40% to 80%
Cash flow	huge upfront datacenter/GPU capex	Cash positive
Revenue visibility	Unpredictable, highly AI-dependent growth trajectory	Predictable, consistent, recurring

3.4 Backlog and Capex

- Remaining performance obligation (future revenue contracts): **$664 Billion** as of August 31, 2026, of which we expect to recognize approximately 13% as revenues over the next twelve months, 37% over the subsequent month 13 to month 36, 34% over the subsequent month 37 to month 60 and the remainder thereafter. This is primarily driven by customer demand for AI Training and AI Inferencing Services (AI usage by real customers).
- FY26 Capex in building new AI data centers: **$55.7 billion**
- FY27 Capex in building new AI data centers: **$95 billion (Guided)**
- OpenAI contributes $300 Billion in the $664 Billion remaining performance obligation.

3.5 AI Infrastructure Unit Economics

Illustrative unit economics for a standard 6-year, $10 Billion annual AI infrastructure deployment contract ($60 Billion total contract value):

Line Item	Amount ($B)	% of Revenue
Total Revenue (6-Year Contract)	**$60.0**	**100.0%**
Equipment Capex (Compute, Network, Storage)	$25.0	41.7%
Data Center & Power (Operating Costs)	$14.0	23.3%
Gross Margin	**$21.0**	**35.0%**

Key Takeaway: Oracle makes an upfront capital investment of ~$25B in equipment to yield $60B in revenue over six years (approx. **$2.50 of Capex per $1.00 of annual revenue increase**).

Validation: Equipment Capex (Compute, Network, Storage) is depreciated over 6 years. So, depreciation should be 41.7% of Oracle CLoud Infrastructure revenue each quarter.

Quarter	Actual OCI revenue	Predicted depreciation	Actual depreciation	Error
Q4 FY25	2.99	1.25	1.15	+8.3%
Q1 FY26	3.35	1.39	~1.40	-0.4%
Q2 FY26	4.08	1.70	~1.66	+2.7%

Q3 FY26	4.89	2.04	2.15	-5.4%
Q4 FY26	5.79	2.41	2.42	-0.2%
Q1 FY27	7.4	3.08	~3.20	-3.6%
FY26 total	18.10	7.54	7.62	-1.1%

Over the last six quarters (Q4 FY25 to Q1 FY27), the average absolute error is 3.4%.

This validates 1 of our estimations, Before doing DCF Valuation:

- depreciation is 41.7% of Oracle CLoud Infrastructure revenue each quarter.

3.6 Time to Revenue Recognition, After Capex (6 months)

This is not a publicly disclosed or available number. After observing "PROPERTY, PLANT AND EQUIPMENT" section of Oracle FY26 10K, I coming up with this hypothesis:

"Most of Oracle's capex is compute, network and storage equipment, and it starts earning revenue about two quarters (six months) after the spend."

Timing test: OCI revenue vs capex two quarters earlier (USD billions)

Rule: OCI revenue this quarter = OCI revenue last quarter + capex two quarters ago ÷ 10. In annualised terms (revenue × 4), this is annualised revenue last quarter + capex two quarters ago ÷ 2.5.

Quarter	Actual OCI revenue	Capex two quarters earlier	Predicted revenue	Error
Q4 FY25	3.00	3.98	3.05	+1.8%
Q1 FY26	3.35	5.86	3.58	+7.0%
Q2 FY26	4.08	9.08	4.26	+4.3%
Q3 FY26	4.89	8.50	4.93	+0.8%
Q4 FY26	5.79	12.04	6.09	+5.3%
Q1 FY27	7.4	18.63	7.65	+3.4%

The average error is +3.8%. The prediction runs slightly above actual revenue in every quarter.
This validates 2 of our estimations, Before doing DCF Valuation:

- $2.50 of Capex per $1.00 of annual revenue increase / $10 of Capex per $1.00 of quarterly revenue increase.
- Its takes 6 months to start revenue recognition after doing capex on compute, network and storage equipment

4. Investment Thesis

Oracle's Cloud Applications and Legacy Software are highly predictable with high-margin and positive cash flows. Oracle's guided annualised growth rate is 4.7%. I assume this outlook remains broadly stable in the near term, while long-term growth gradually converges towards global economic growth (3%).

Oracle Cloud Infrastructure (OCI), however, requires much more attention. Given its high capex and high growth. Eventual returns on invested capital in the cloud infrastructure will determine whether Oracle becomes a value creator or a value destroyer.

Oracle Cloud Infrastructure will largely determine Oracle's future. So, let's build out different scenarios around Oracle Cloud Infrastructure.

A significant portion of Oracle's cloud compute demand is coming from AI model companies renting infrastructure to train and run(Inference) their models.

AI model companies ability to keep renting compute depends on two things:

- **In the short term:** The availability of investor funding to support their spending.
- **In the long term:** AI adoption and the revenue generated by AI applications.

Ultimately, Oracle's future depends on whether investor-funded AI spending can transition into sustainable, customer-funded demand.

4.1 Is AI here to stay?

Yes, AI is becoming increasingly integrated into our daily lives and work in an irreversible fashion:

1. Traditional internet searching and surfing → simply ask AI a question
2. Traditional coding → give a prompt to AI agents
3. The way we shop (product search, product comparison, product reviews)
4. Content creation (text, image, audio, video)

As the AI capabilities continue to grow, we can expect its use cases to expand over time. Therefore we can comfortably assume that AI adoption will continue to grow.

The real question is whether AI adoption growth rate and monetisation will justify the enormous investment being made into building huge data centers. Or will we end up with overcapacity?

4.3 Can AI demand justify infrastructure investment(building huge data centers)?

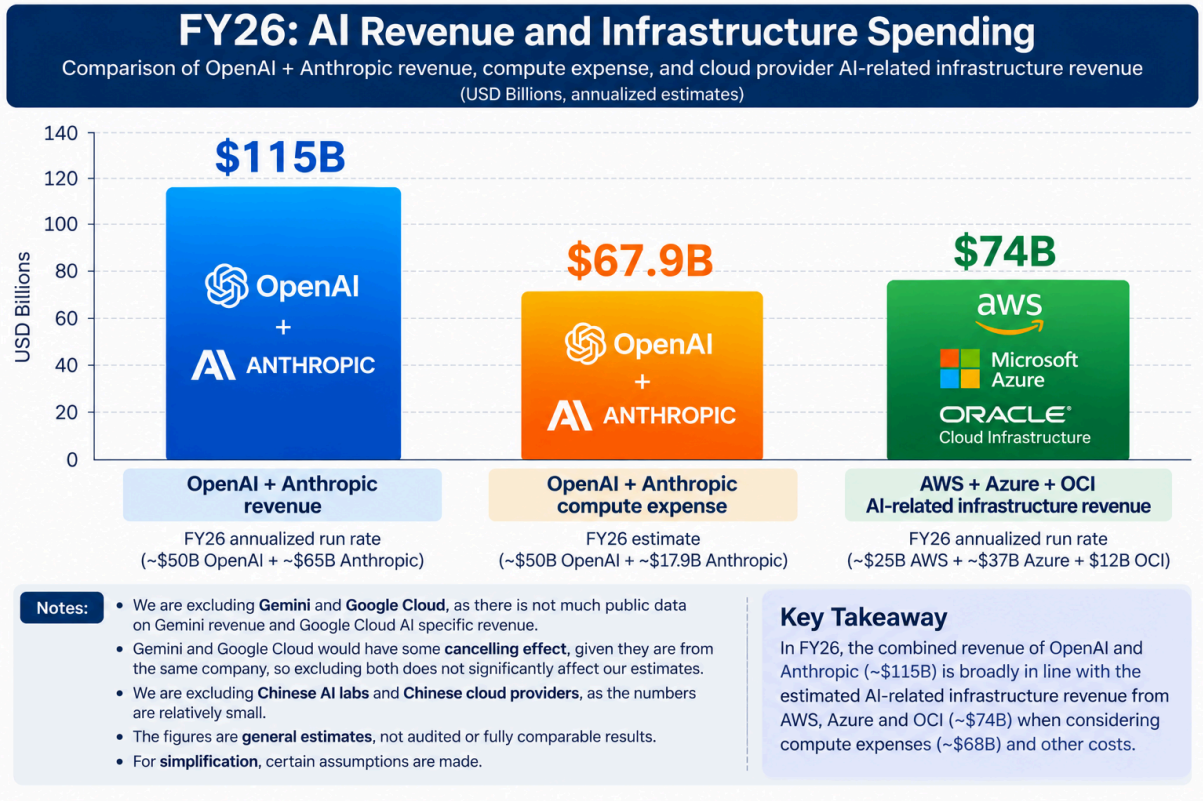
To quantify this let's take 2 quantitative indicators:

Metric	Quantitative Indicator
AI Demand	AI model companies revenue
Cloud Compute Infrastructure Investment	Cloud companies capex

Why we choose “AI model companies revenues” as the quantitative indicator instead of “AI model companies investor funding”:

“AI model companies investor funding” → In short-term this is the better indicator of actual money spent by AI model companies to rent cloud compute. This is very speculative in nature, driven by market mood and market forces, which cannot be easily predicted.

“AI model companies revenues” → In long-term this what actually supports the money spent by AI model companies to rent cloud compute. And this is relatively more predictable and recurring.



Based on the latest Anthropic IPO S-1 form (for the six months ended June 30, 2026), operating revenue stood at $16.2 billion against total operating expenses of $16.9 billion. This indicates that Anthropic is burning very little cash at the operating level, meaning FY26 AI spending is robustly backed by revenue. Consequently, there is no overbuilding of compute capacity currently, and major cloud providers are operating near full infrastructure capacity.

This raises the key question: **Will we see an overcapacity of cloud infrastructure in the future?**

- **Anthropic YoY Revenue Growth (FY25 → FY26):** ~600%
- **OpenAI YoY Revenue Growth (FY25 → FY26):** ~150%

Cloud GPU and server capital expenditure typically precedes revenue realization by less than six months. This time lag is a critical factor for our thesis, as it represents the window between capacity building and actual revenue recognition.

While some argue that AI model companies might inflate current spending using investor funds to train new models, conservative projections suggest AI revenue could still grow by 50% to 100%. Even in a scenario with temporary overcapacity, the six-month signaling window allows cloud providers to identify demand slowdowns early, pause new capex, and let high organic AI revenue growth absorb the capacity within a year or two in the worst case.

To monitor this closely, we should track whether AI revenue growth and new data center capex.

A significant divergence, where AI capex vastly outpaces expected revenue growth, would be a red flag. Currently, the market does not exhibit this imbalance. Therefore, we do not foresee massive impairments from overcapacity.

Conclusion: In the worst case, AI cloud infrastructure impairment would be that overcapacity sits ideal for 1 year.

So, Lets do valuation for see 2 cases:
Base Case: AI models intelligence stops growing. AI revenue growth halts in 2028.

Bull Case: AI models intelligence continues to grow. Since we cannot imagine a long-term future with high predictability, let's consider AI revenue growth to slow down in 2030.

5. DCF Valuation & Scenarios

5.1 Base Case: AI plateaus FY28 (USD Billions)

	FY26	FY27	FY28
Revenue	67.3	90	130
Op Margin	31%	28%	28%
Operating Income	20.6	25.2	36.4
Op Income × (1 – 0.21)		19.9	28.75
Capex	47.7	90	124
Depreciation	7.6	14.8	32.34
Unlevered FCF		-55.3	-62.9]
WACC	11.10%	11.10%	11.10%

- Terminal Growth 3%, Terminal WACC 8.1%, Dep Correction: $214 Billion, One Time Impairment: -$144 Billion
- Terminal Value (FY28): $704 Billion
- Total PV: $469 Billion
- **Present Value per Share: $156**

5.2 Bull Case: AI grows through FY30 (USD Billions)

	FY26	FY27	FY28	FY29	FY30
Revenue	67.3	90	130	185	225
Op Margin	31%	28%	28%	28%	30%
Operating Income	20.6	25.2	36.4	51.8	67.5
Op Income × (1 – 0.21)		19.9	28.75	40.9	53.3
Capex	47.7	90	124	102	30
Depreciation	7.6	14.8	32.34	54.18	70
Unlevered FCF		-55.3	-62.9	-6.9	97.8
WACC	11.10%	11.10%	11.10%	11.10%	11.10%

- Terminal Growth 3%, Terminal WACC 8.1%, Dep Correction $229 Billion
- Terminal Value (FY30): $1,238 Billion
- Total PV: $771 Billion
- **Present Value per Share: $257**

5.3 Terminal Value Assumptions

	Base (FY31 onwards)	Bull (FY29 onwards)
Terminal growth	3%	3%
Terminal WACC	8.10%	8.10%
Depreciation correction	229	214
One-time loss	0	-114

Depreciation correction → Normalised Annual (Depreciation + Capital Investment)
One-time loss → Impairment in the case of an AI bubble, AI Infrastructure sits idle without generating revenue.

6. Recommendation & Price Target

Recommendation: Buy
Price target: $156 - $257

Scenario	Value per Share	Upside vs $126
Base (AI plateaus FY28)	$156	+23.8%
Bull (AI grows through FY30)	$257	+103.9%

Oracle represents an asymmetric investment opportunity. Even under a highly conservative scenario where AI expansion halts in FY28, valuation support yields $156 per share (+23.8% upside from $126). In a continued growth environment through FY30, the target price scales to $257 (+103.9% upside).

7. Catalysts

Faster AI Adoption, AI breakthroughs like Artificial General Intelligence/ Super Intelligence, Quarterly RPO conversion, new capacity coming online, OCI margin disclosures.

8. Risks

AI funding freeze, customer concentration or default, GPU obsolescence, power and supply constraints, margin compression, rising rates, competition from AWS, Azure and Google Cloud.

10. Sources

- Oracle 10K 2026: Oracle 10K 2026
- Depreciation life 6 years for computer, network, machinery and equipment: Oracle 10K 2026, Section: PROPERTY, PLANT AND EQUIPMENT
- Six months to start revenue recognition after capex: Oracle 10K 2026, Section: PROPERTY, PLANT AND EQUIPMENT, Table rows: Computer, network, machinery and equipment , Construction in progress
- OCI revenue guidance, OCI Contract Unit Economics(Page24, Page36): Oracle Financial Analyst Meeting 2025 - Clay Magouyrk
- Oracle revenue guidance(Page12): Oracle Financial Analyst Meeting 2025 - kehring